

Certified Anti-Money Laundering Specialist

STUDY GUIDE

Version 7.0



Certified Anti-Money Laundering Specialist Task Force

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Financial crime risks in relation to other types of risks



Financial crime risks

Institutions that deal with money or assets with transferable value have greater exposure to financial crime risks when conducting business. These include, but are not limited to, banks, nonbank financial institutions, payment service providers, legal firms, and accountants. Criminals exploit these sectors to move illicit funds and obscure ownership structures to evade detection. Due to their vulnerability, these specific industries, and some others, are deemed “obliged” entities and are subject to stringent financial crime regulations.

The risks associated with financial crime exposure are multifaceted and go far beyond direct financial losses. Some types of risks that organizations face include, but are not limited to, operational, legal, concentration, and reputational. Institutions also face systemic risks, where criminal misuse of financial systems can destabilize entire markets or financial ecosystems. Cybersecurity risks increase as institutions manage digital transactions and combat emerging threats such as ransomware and deepfake fraud. Geopolitical risks arise when financial crime intersects with international sanctions, trade restrictions, or politically exposed persons, making compliance even more complex and challenging to manage.

Regulatory fragmentation presents another challenge, as global financial crime compliance requirements vary across jurisdictions. Regulatory fragmentation is when multiple regulatory bodies have varying rules around the same issue, often creating inconsistencies in enforcement and risk exposure. Additionally, technological risks emerge as digital payment platforms, cryptocurrencies, and decentralized finance introduce new and largely unquantified financial crime risks that institutions must monitor and mitigate.

To address these risks, obliged entities must implement proactive financial crime compliance programs, including transaction monitoring and utilization

Key takeaways

- Intricate structures of shell and shelf companies can be used to facilitate money laundering.
- Financial institutions should remain vigilant and implement stringent AML controls to detect and prevent such activities. These should include:
 - Robust enhanced customer due diligence and transaction monitoring processes.
 - Strong capabilities for beneficial ownership verification where customers exhibit complex ownership structures.
 - Adequate and appropriate oversight of their overseas subsidiaries with regular audits conducted and any identified deficiencies reported in a timely manner.



Politically exposed person risks

A politically exposed person (PEP) is an individual in a prominent political function, their immediate family, close associates, and any businesses held or controlled by that person. One challenge in identifying PEPs is the varying guidance and recommendations in each jurisdiction.

Organizations must adhere to their local regulatory requirements in identifying PEPs. However, organizations may choose to enforce higher standards based on their risk appetite.

According to the Financial Action Task Force (FATF), there are three types of PEPs:

- Foreign PEPs are individuals entrusted with prominent public functions by a foreign country.
- Domestic PEPs are individuals entrusted domestically with prominent public functions.
- International organization PEPs are individuals from an international organization entrusted with a prominent function such as secretary general, executive director, or president.

Individuals in high positions and their associates are more vulnerable to corruption.

Corruption might be favors where the PEP directs government contracts to an organization in return for kickbacks. In addition, a PEP might influence legislation for bribes or flee the country with government funds.

Use a broad definition for defining a PEP.

PEPs can generally be defined as:

- A person in a prominent decision-making or influential role
- A person within royal, military, legislative, judicial, executive, or similar government positions

PEPs will often use nominees or businesses they are associated with.

Therefore, the definition of PEP can also include:

- Immediate family
- Close friends or associates
- Businesses owned or held by those individuals

Under a risk-based approach, PEP risk is manageable. Some organizations follow a “once a PEP, always a PEP” approach because the individual may remain in the same circles of influence, even if they have stepped down.

Other organizations will look at:

- The individual’s influence at the time, such as their ability to award contracts or allocate funds
- How long the individual has been classified as a PEP

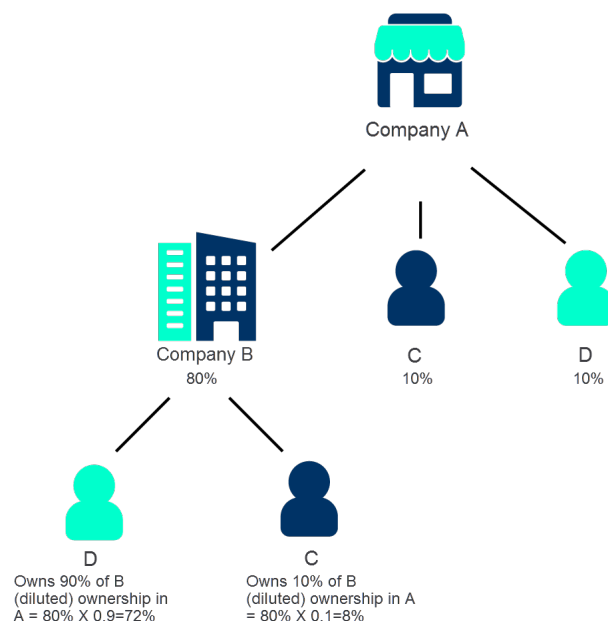
The purpose of the PEP designation is important. Organizations must take the necessary steps to adapt transaction monitoring and KYC reviews and escalate based on their risk appetite.



Control and ownership for AML compliance

Control and ownership play a vital role in AML efforts, as they can often be obscured or concealed, allowing bad actors to disguise criminal activities and facilitate financial crime. A beneficial owner (BO) is defined as an individual or entity that possesses ownership of a legal entity, either through shareholding or other means. In contrast, the ultimate beneficial owner (UBO) refers specifically to one or more natural persons who ultimately owns a substantial percentage of shareholding. It is important to note that a BO might appear to have ownership of a company but might not control the company. Conversely, a UBO might not directly hold shares but does exert ultimate control over it. This distinction is crucial when it comes to regulatory requirements surrounding ownership structures.

When reviewing ownership structures, there is a regulatory obligation to identify the UBO of a customer. For AML purposes, most jurisdictions require beneficial ownership to be identified at a threshold of 25% or more. That means you need to know every entity or individual who owns at least 25% of a customer. Your organization will set the appropriate threshold using a risk-based approach. For certain high-risk customers, the beneficial ownership threshold might be as low as 10% and could go as low as 5% for customers who pose a significantly higher risk. For example, high-risk financial institutions with correspondent banking relationships in a high-risk jurisdiction might set their threshold at 5%.



In order to identify the UBOs of Company A, you need to identify indirect ownership stakes in addition to direct ownership. Individual D owns 10% of Company A directly. They also own 72% of Company A indirectly, as they own 90% of shares of Company B, which owns 80% of Company A. Individual D is then considered a UBO with 82% shareholding of Company A. Individual C, who owns 10% of Company A directly and an additional 8% indirectly via their 10% ownership of Company B, is not a UBO.

In companies where there is no natural beneficial owner, a controller or a notional beneficial owner should be identified and verified. This allows you to understand who is in control of the decision-making in the company when natural individual UBOs are not present. For example, for a company that is publicly listed on the stock exchange and has thousands of shareholders, a notional beneficial owner could be the president or chief executive officer, or equivalent.



Concentration accounts

A concentration account is a type of account used by financial institutions to aggregate funds from various sources into a central account. It is often referred to as a settlement, sweep, suspense, or collection account. This centralization streamlines the management of funds, enabling institutions to optimize cash flow, reduce the number of transactions, and simplify account reconciliations.

While concentration accounts serve legitimate purposes, they are also vulnerable to misuse by money launderers and other criminals. The main risk arises from the high volume of transactions and the pooling of funds, which can obscure the origins and destinations of money. This makes it easier for illicit funds to be mixed with legitimate funds, facilitating money laundering activities.

Money launderers can exploit concentration accounts in various banking segments, including:

- Retail banking: Small deposits from multiple sources can be aggregated into a single account, making it difficult to trace the individual origins of illicit funds.
- Corporate banking: Large volumes of transactions can mask the movement of illegal funds, blending them with legitimate corporate cash flows.

To mitigate the risks associated with concentration accounts, financial institutions should implement robust controls and monitoring mechanisms. Financial institutions might:

- Prohibit direct customer access to concentration accounts.
- Capture customer transactions in the customers' account statements.
- Implement an isolation of duties to prevent unauthorized access and reduce the risk of internal fraud. Separate personnel should be responsible for the initiation, approval, and reconciliation of transactions.
- Reconcile concentration accounts frequently by someone who is independent of the transactions.

Three lines of defense



Three lines of defense

The three lines of defense is a risk governance model that allocates risk management responsibilities across the enterprise. It provides clear role definitions and includes a built-in check-and-challenge process.

The first line of defense (LOD), the front line, consists of customer-facing employees who implement AFC policies and procedures, promote compliance, and perform CDD.

The second line, AFC compliance, includes the money laundering reporting officer (MLRO) and is responsible for risk and control functions, developing policies, managing and monitoring activity, and ensuring staff training and compliance. The second line performs compliance monitoring and testing, including monitoring the effectiveness of controls operated by the first line.

The third line, internal audit, independently reviews risk management and control effectiveness applied by the first two lines.



First line of defense AFC function

The first line of defense (LOD) is critical in a financial institution's risk management framework. It includes front-line functions that are responsible for directly managing customers and risks in their day-to-day operations. Each organization structures itself differently based on its legacy, size, and complexity. The first line is composed of the following functions, which might be named or organized differently:

- Business development engages with clients and creates sales opportunities. This function should be aware of the risks associated with onboarding new clients, support the due diligence process, and escalate any identified red flags.
- Business support provides resources and operational support to enable smooth client interactions and transactions. This function ensures that staff

efficiency and scalability benefits, careless implementation can lead to serious legal and reputational consequences. Organizations might use RPA or AI models, but the accountability for AML failures remains with the financial institutions. Regulators expect organizations to maintain complete oversight and control over their AML programs, regardless of task automation or delegation. Therefore, it is prudent to consider automating only those processes that are thoroughly tested and operationally mature.



Behavioral and profile monitoring

Instead of relying solely on static rules-based thresholds, behavioral transaction monitoring analyzes a customer's historical transaction behavior to build dynamic profiles and detect anomalies that may signal suspicious activity. For example, if a customer typically sends small domestic transfers and suddenly initiates a large international wire to a high-risk jurisdiction, this deviation is flagged. Incorporating contextual factors—such as changes in occupation, recent travel, or market volatility—is needed to avoid misinterpreting legitimate shifts. The main advantage of this method is its ability to reduce false positives by focusing on individual profile risk, but it requires robust historical data and ongoing model calibration to be effective.

Machine learning further enhances behavioral analysis by allowing systems to learn from past cases and adapt over time. Machine learning algorithms detect subtle, nonobvious patterns and can flag emerging typologies that traditional rules might miss. These systems support predictive analytics, anomaly detection, and adaptive models that evolve as criminal strategies change. For example, machine learning can identify a previously unseen pattern of layering or structuring by recognizing it in real time. The major strengths of machine learning include scalability, speed, and sophistication in pattern recognition. However, sometimes, systems can be opaque, or "black-box," making it challenging for compliance teams to explain decisions to regulators—a potential drawback in high-stakes compliance environments.

Network analysis complements both behavioral monitoring and AI by visually and analytically mapping connections between data points, such as business relationships between individuals and entities or shared addresses. This technique is particularly powerful in detecting organized networks behind illicit activities. Identifying central nodes, shared beneficiaries, or account overlaps can uncover hidden relationships and transaction layering strategies.

Willful blindness

A legal principle that operates in money laundering cases in the US and that courts define as the “deliberate avoidance of knowledge of the facts” or “purposeful indifference.” Courts have held that willful blindness is the equivalent of actual knowledge of the illegal source of funds or of the intentions of a customer in a money laundering transaction.

Wire transfer

An electronic transmission of funds among financial institutions on behalf of themselves or their customers. Wire transfers are financial vehicles covered by the regulatory requirements of many countries in the AML effort.

WMD

Weapon of mass destruction

Wolfsberg Group

An association of 13 global financial institutions established in 2000 in response to growing concerns about financial crime within the private banking sector. Since then, it has issued several guidelines on correspondent banking and terrorist financing, among others, and aims to promote effective financial crime risk management and strengthen the overall integrity of the financial system through best practices.

World Bank

A vital source of financial and technical assistance to developing countries. It is not a bank in the traditional sense but is made up of five organizations owned by 189 members. The World Bank plays a crucial role in shaping the global response to money laundering by supporting countries in building effective regulatory and institutional frameworks, facilitating international cooperation, and funding necessary reforms to enhance financial integrity.